

SEC Number 60312

File Number _____

PHILIPPINE INFRADEV HOLDINGS INC.

(Company's Full Name)

Philippine Infradev Site Office, Spinal Road, Brgy. Tatala, Binangonan, Rizal

(Company's Address)

(632) 8283-8459 / (632) 8283-8294

(Telephone Numbers)

December 31

(Fiscal Year Ending)
(month and day)

Quarterly Report

Form Type

Amendment Designation (if applicable)

September 30, 2025

Quarter Ended Date

Publicly Listed Corporation

(Secondary License Type and File Number)

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q**

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATION CODE AND SRC RULE 17(2) (b) THEREUNDER**

1. For the quarterly period ended: **September 30, 2025**
2. Commission Identification Number: **60312**
3. BIR Tax Identification Number: **000-464-876**
4. Exact name of registrant as specified in its charter: **PHILIPPINE INFRADEV HOLDINGS INC.**
5. Province, country or other jurisdiction of incorporation or organization: **Metro Manila, Philippines**
6. Industry Classification Code: (SEC Use Only)
7. Address of registrant's principal office Postal Code
- Philippine Infradev Site Office, Spinal Road, Brgy. Tataala,
Binangonan, Rizal**
- 1940**
8. Registrant's telephone number, including area code: **(632) 8283-8459 / (632) 8283-8294**
9. Former name, former address and former fiscal year, if changed since last report
- N/A

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

<u>Title of Each Class</u>	<u>Number of shares outstanding</u>
Common	6,061,560,322
Preferred	722,320,940

11. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange Common Stock

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports);

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

Philippine Infradev Holdings Inc. and Subsidiaries
(Formerly IRC Properties, Inc. and Subsidiary)
Consolidated Statements of Financial Position
As of September 30, 2025 and December 31, 2024

	Notes	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
<u>ASSETS</u>			
Current assets			
Cash	2	₱125,831,452	₱132,087,776
Receivables, net	3	766,608,747	713,295,741
Real estate held for development and sale	5	1,243,219,728	1,241,442,722
Prepayments and other current assets	6	366,721,992	315,235,398
Total current assets		2,502,381,919	2,402,061,637
Non-current assets			
Investment property	7	44,619,423,659	44,619,423,659
Property and equipment, net	8	7,606,627	8,200,610
Intangible asset	9	76,165,665,123	76,165,665,123
Funds held by custodian bank	4	19,701,464	19,701,464
Other assets, net	10	3,507,321	3,450,428
Total non-current assets		120,815,904,194	120,816,441,284
Total assets		₱123,318,286,113	₱123,218,502,921
<u>LIABILITIES AND EQUITY</u>			
Current liabilities			
Accounts payable and accrued expenses	11	₱688,194,182	₱488,560,188
Provision for clearing costs	12	-	41,837,409
Payable to related parties		1,931,477,508	1,931,477,508
Current portion of borrowings	13	492,611,756	492,611,756
Liability for refund of stock rights subscription		19,701,464	19,701,464
Total current liabilities		3,131,984,910	2,974,188,325
Non-current liabilities			
Provision for clearing costs, net of current portion	12	12,937,038,782	12,983,044,695
Deferred income tax liabilities, net		6,321,566,474	6,319,861,972
Retirement benefit obligation		4,487,426	4,487,426
Total non-current liabilities		19,263,092,682	19,307,394,093
Total liabilities		22,395,077,592	22,281,582,418
Equity			
Share capital	14	10,866,972,259	10,866,972,259
Share premium	14	669,800,642	669,800,642
Share warrants	14	1,755,520,000	1,755,520,000
Treasury shares	14	(18,642)	(18,642)
Remeasurement reserve on retirement benefit obligation		1,240,618	1,240,618
Other reserves		115,277,578,698	115,277,578,698
Retained earnings		(27,647,885,054)	(27,634,173,072)
Total equity		100,923,208,521	100,936,920,503
Total liabilities and equity		₱123,318,286,113	₱123,218,502,921

Philippine Infradev Holdings Inc. and Subsidiaries
(Formerly IRC Properties, Inc. and Subsidiary)
Consolidated Statements of Total Comprehensive Income
For the nine-months period ended September 30, 2025 and 2024

		Quarters Ended Jul 1 – Sep 30		Year to Date Jan 1 – Sep 30	
	Notes	2025	2024	2025	2024
Income		(UNAUDITED)	(UNAUDITED)	(UNAUDITED)	(UNAUDITED)
Sales of real estate, net		₱127,288,543	₱71,632,602	₱341,317,921	₱460,124,972
Interest income from cash		19,292	28,218	59,366	48,590
Other income		3,350,386	178,119	3,506,554	936,652
		130,658,221	71,838,939	344,883,841	461,110,214
Costs and expenses					
Cost of sales	5	98,923,165	44,453,545	224,672,952	280,030,831
Commission		10,738,588	4,627,997	33,162,771	30,962,687
Professional fees and other outside services		9,031,310	4,343,756	16,860,817	13,312,634
Salaries, wages and employee benefits	15	4,005,163	4,434,681	11,582,910	12,969,156
Taxes and licenses		1,663,639	3,907,302	4,643,183	7,537,362
Interest expense		10,750,495	-	32,251,487	21,500,992
Meeting expenses		156,419	105,155	340,575	6,989,211
Rent		1,126,774	1,518,018	3,864,106	3,167,970
Depreciation expense		330,149	357,490	1,015,439	1,192,944
Office supplies		124,284	144,200	502,662	336,676
Other expenses	16	6,499,874	6,649,427	27,994,419	11,382,051
		143,349,860	70,541,571	356,891,321	389,382,514
Income before income tax		(12,691,639)	1,297,368	(12,007,480)	71,727,700
Income tax expense		1,938,154	(880,734)	(1,704,502)	(19,321,553)
Net income for the year		(10,753,485)	416,634	(13,711,982)	52,406,147
Other comprehensive income (loss)		-	-	-	-
Total comprehensive income for the quarter		₱(10,753,485)	₱416,634	₱(13,711,982)	₱52,406,147
Basic earnings per share		(0.00)	0.00	(0.00)	0.01
Diluted earnings per share		(0.00)	0.00	(0.00)	0.01

Philippine Infradev Holdings Inc. and Subsidiaries
(Formerly IRC Properties, Inc. and Subsidiary)
Consolidated Statements of Changes in Equity
For the period ended September 30, 2025 and September 30, 2024

	September 30, 2025 (UNAUDITED)	September 30, 2024 (UNAUDITED)
Notes		
Share Capital		
Common shares – at ₱1.00 par value		
Authorized – 9,500,000,000 shares		
Issued and outstanding – 4,300,418,259 shares	₱4,300,418,259	₱4,300,418,259
Preferred shares – at ₱10.00 par value		
Authorized – 1,000,000,000 shares		
Issued and outstanding – 656,655,400 shares	6,566,554,000	6,566,554,000
	10,866,972,259	10,866,972,259
Share Premium	669,800,642	669,800,642
Share Warrants	1,755,520,000	1,755,520,000
Treasury Shares	(18,642)	(18,642)
Remeasurement Reserve on retirement benefit obligation	1,240,618	1,882,418
Other reserve	115,277,578,698	115,280,968,682
Retained earnings		
Balance at beginning of year	(27,634,173,072)	(27,393,982,218)
Net income (loss)	(13,711,982)	52,406,147
Balance at end of period	(27,647,885,054)	(27,341,576,071)
Total Equity	₱100,923,208,521	₱101,233,549,288

Philippine Infradev Holdings Inc. and Subsidiaries
(Formerly IRC Properties, Inc. and Subsidiary)
Consolidated Statements of Cash Flows
For the period ended September 30, 2025 and September 30, 2024

	September 30, 2025 (UNAUDITED)	September 30, 2024 (UNAUDITED)
Cash flows from operating activities		
Income before income tax	P(12,007,480)	P70,430,332
Adjustments for:		
Interest expense	32,251,487	10,750,496
Depreciation	1,015,439	835,454
Amortization	-	16,853
Interest income	(59,366)	(20,372)
Operating income (loss) before changes in working capital	21,200,080	82,012,763
Changes in working capital		
Receivables	(53,313,006)	(53,948,186)
Real estate held for sale and development	(1,777,006)	121,242,332
Prepayments and other current assets	(51,486,594)	(36,764,500)
Other assets	(56,893)	(23,517)
Accounts payable and accrued expenses	167,382,507	54,399,434
Cash generated from (absorbed by) operations	81,949,088	166,918,326
Interest received	59,366	20,372
Net cash provided by (used in) operating activities	82,008,454	166,938,698
Cash flows from investing activities		
Settlement of clearing costs	(87,843,322)	(4,000,000)
Proceeds from disposal of property and equipment	-	8,031
Acquisition of property and equipment	(421,456)	-
Net cash provided by (used in) investing activities	(88,264,778)	(3,991,969)
Cash flows from financing activities		
Settlement of borrowings	-	-
Proceeds from availment of borrowings	-	-
Proceeds from issuance of shares	-	-
Net cash provided by (used in) financing activities	-	-
Net increase (decrease) in cash for the period	(6,256,324)	162,946,729
Cash as at January 1	132,087,776	80,284,610
Cash as at September 30	P125,831,452	P243,231,339

PHILIPPINE INFRADEV HOLDINGS INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

Note 1 - Corporate Information

(a) Registration and organization

Philippine Infradev Holdings Inc. (the “Parent Company”) was incorporated in the Philippines on February 24, 1975. The Parent Company is primarily engaged in the acquisition, reclamation, development, or exploitation of lands for the purpose of converting and developing said lands to integrated residential or commercial neighborhoods, and generally to engage in real estate business in all its forms.

The Parent Company became a public company through an initial public offering at the Philippine Stock Exchange (PSE) on February 27, 1978. There are no other offerings made other than new shares issued arising from stock rights offering in 2010. As at September 30, 2025 and December 31, 2024, 15.53% of the total outstanding common shares of the Parent Company is listed in the PSE.

The immediate and ultimate parent of the Parent Company is Aggregate Business Group Holdings Inc. (ABG), a domestic holding company, which holds 67.10% (2024 - 67.10%) of the Parent Company’s outstanding common shares as at September 30, 2025.

The Parent Company and its subsidiaries are collectively referred hereinto as the “Group”.

The Parent Company’s Board of Directors (BOD) approved the change in the Parent Company’s registered office and principal place of business from 35/F Rufino Pacific Tower, 6784 Ayala Avenue, Makati City to 38F (A&B) Rufino Pacific Tower, 6784 Ayala Avenue, Makati City, effective February 1, 2021.

(b) Makati Subway System; Territorial dispute

On October 23, 2018, the Parent Company received from Public-Private Partnership (PPP) Selection Committee of the Makati City Government a Notice of Award for the construction and operation of the Makati City Subway System (the “Subway System”) to be implemented through the PPP Joint Venture (PPP JV) Agreement. The Subway System Project has been awarded to the Parent Company as the lead proponent of a consortium.

On March 4, 2019, the Parent Company incorporated Makati City Subway, Inc. (MCSI) that will be used as a special corporate vehicle for the Subway System Project. MCSI is a wholly owned, domestic subsidiary of the Parent Company.

On July 12, 2019, the Parent Company incorporated Jiangsu Rizal Infradev Co., Ltd. (JRIC) to function primarily as a corporate vehicle in the procurement of materials and equipment related to the Subway System Project. JRIC is a wholly owned, foreign subsidiary incorporated in Jiangyin City, China.

On July 19, 2019, the Makati City Council approved City Ordinance No. 2020-A-020 (the “Ordinance”) on third and final reading. The Ordinance approved the terms and conditions of the PPP JV Agreement between the Parent Company and the Makati City Government for the construction, establishment, management and operation of the Subway System.

On July 30, 2019, the Parent Company's BOD approved a resolution authorizing the Parent Company's execution, delivery and performance of the PPP JV Agreement with the Makati City Government as the Joint Venture (JV) Partner, and of other instruments contemplated in the PPP JV Agreement. On the same date, authorized representatives of the Parent Company and the Makati City Government signed the PPP JV Agreement, and the Parent Company submitted to the Makati City Government the US\$350 million performance bond which was accepted by the Makati City Government. The performance bond is covered by a surety agreement which will expire in August 2025.

On February 18, 2020, the Notice to Proceed for the Subway System Project was received by the Parent Company. The Subway System Project is expected to be completed within five (5) years for an estimated total project cost of US\$3.50 billion.

On September 8, 2020, the Group executed the Engineering, Procurement, and Construction (EPC) contracts for the Subway System Project with China Construction Second Engineering Bureau Ltd. and Shanghai Electric Group Automation Engineering Co., Ltd. The EPC contracts cover (i) civil works, and (ii) mechanical, electrical, plumbing (MEP) works for a total price of US\$1.21 billion. The Group made a downpayment amounting to \$3.05 million.

On March 9, 2021, the Group executed a legally binding term sheet with Richer Today, Inc. ("RTI") for the financing, design, construction, development, marketing and sale of the lots in and around Station 5 of the Subway System through an unincorporated joint venture. Construction development over said lots shall commence after two (2) years.

On March 7, 2022, the Group received the certificate of registration of MCSI as new operator of Local Government Unit Public-Private Partnership from the Board of Investments effective January 17, 2022. This includes the approval of tax incentives which shall be limited to four (4) years income tax holiday, followed by five (5) years enhanced deductions and duty exemption on importation of capital equipment, subject to compliance with certain conditions.

As at the date of the approval of the financial statements, the Group has completed the excavation and shoring works of the first phase of the underground walkway construction and concrete pouring of two mat foundation (Note 8). The first phase covers Station 3 (located along Sen. Gil J. Puyat Avenue, Dela Rosa Street and Urban Avenue). Adjustments and optimization of the subway basic design have also been made according to the requirements of the Makati City Government. The detailed design of the station and section of the first phase of the Subway System has been completed. Certain major equipment and machineries are on site, but with incoming deliveries, to continue to the next phase of the construction in Station 5 (located along J.P. Rizal Street within the old Makati City Hall).

Territorial dispute between the Cities of Makati and Taguig

In 2023, the Supreme Court (SC) ruled with finality that the City of Taguig has jurisdiction over Fort Bonifacio and Embo barangays previously belonging to the City of Makati. As a result of this of SC ruling, management has assessed that the alignment of the subway will no longer be feasible due to several stations now under the territory of the City of Taguig. As of reporting date, the construction activities related to the Subway System have been temporarily suspended.

Arbitration proceedings relating to the Makati City Subway Project under the Joint Venture Agreement with the Makati City Government

On May 1, 2025, the Board of Directors of the Parent Company has resolved that continuing with the Makati City Subway Project under the Joint Venture Agreement (“JVA”) with the Makati City Government was rendered no longer economically and operationally feasible due primarily to the Philippine Supreme Court's decision declaring some subway stations and depot to be under the jurisdiction of Taguig City instead of the Makati City. Arbitration proceedings have thus been commenced with the Singapore International Arbitration Centre to enable an impartial resolution of the JVA with the Makati City

Note 2 - Cash

The account consists of:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Cash in banks	₱1,275,664	₱1,275,664
Cash on hand	124,555,788	130,812,112
	₱125,831,452	₱132,087,776

Cash in banks earn interest at the prevailing bank deposit rates.

Note 3 - Receivables, net

The account consists of:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Receivables from subcontractors	₱143,521,702	₱128,026,941
Receivables from sale of real estate held for sale and development	619,203,247	587,548,108
Advances to officers and employees	6,868,035	704,929
Others	2,752,996	2,752,996
	772,345,980	719,032,974
Provision for doubtful accounts	(5,737,233)	(5,737,233)
	₱766,608,747	₱713,295,741

Note 4 - Funds held by custodian bank

This account represents restricted funds from the proceeds of the Parent Company's cancelled stock rights offering in 1996, which were deposited with a local custodian bank. The local custodian bank is responsible for monitoring withdrawals or disbursements from the funds and ensuring that all withdrawals and orders for payment made are in connection with, or relating to, any of the purposes specified in the work program submitted by the Group to the SEC in connection with the stock rights offering.

Following SEC's order to refund the money, the proceeds have been presented as liability in the consolidated statements of financial position. The Group does not have legal right to defer payment beyond one (1) year for any claims received, hence, the amount was presented as current liability.

During 2025, there were neither payments of principal nor withdrawals from the account.

Note 5 - Real estate held for sale and development

This account represents cumulative development and construction costs of on-going housing projects in Binangonan, Rizal.

Details and movements of the account are as follows:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
At cost	₱1,241,442,722	₱1,458,519,547

Beginning		
Additions, including capitalized interest	226,449,958	200,188,998
Charged to cost of real estate sold	(224,672,952)	(417,265,823)
Ending	₱1,243,219,728	₱1,241,442,722

Critical accounting estimate – Valuation of real estate held for development and sale

Real estate held for development and sale are valued at the lower of cost and net realizable value (NRV). This requires the Group to make an estimate of the inventories' estimated selling price in the ordinary course of business, costs of completion and costs necessary to make a sale to determine the NRV. The Group adjusts the cost of its real estate inventories to NRV based on its assessment of the recoverability of the real estate inventories, if necessary.

Likewise, management also considers whether the estimated costs of completion or the estimated costs to be incurred to make the sale have increased. In the event that NRV is lower than the cost, the decline is recognized as an expense. The amount and timing of recorded expenses for any period would differ if different judgments were made or different estimates were utilized.

Note 6 - Prepayments and other current assets

The account consists of:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Input value-added tax (VAT)	₱255,574,813	₱227,723,186
Prepaid taxes	83,736,178	62,528,175
Prepaid insurance	17,006,054	17,006,054
Advances to subcontractors	2,318,988	2,318,988
Others	8,085,959	5,658,995
	₱366,721,992	₱315,235,398

Note 7 - Investment property

This account consists of the Group's property in Binangonan, Rizal, which is currently being cleared for future development, and property in Makati City relative to the Subway System Project (Note 1).

The movements of this account are as follows:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Beginning	₱44,619,423,659	₱ 44,999,971,080
Impact of changes in assumption of clearing cost	-	(380,547,421)
Additions, including capitalized interest	-	-
Ending	₱44,619,423,659	₱44,619,423,659

As at September 30, 2025 and December 31, 2024, no investment properties have been pledged as security for any of the Group's liabilities. The Group has contractual obligation to develop the land acquired from Makati City Government based on the PPP JV Agreement and the Binangonan property as discussed below.

Note 8 - Property and equipment, net

Details of property and equipment and its movement are as follows:

	Condominium units and parking lots	Office equipment	Furniture and fixtures	Transportation and communication equipment	Building and Improvements	Construction-in- progress	Total
Cost							
January 1, 2024	₱14,553,014	₱3,073,429	₱1,808,541	₱9,875,987	₱1,757,915	₱4,846,072,263	₱4,877,141,149
Additions	8,870,400	-	-	-	60,267	1,947,330	10,877,997
Disposals	-	-	-	-	-	-	-
Reclassification	-	-	-	-	-	-	-
December 31, 2024	23,423,414	3,073,429	1,808,541	9,875,987	1,818,182	4,848,019,593	4,888,019,146
Additions	-	40,978	294,000	8,598	-	77,880	421,456
Disposals	-	-	-	-	-	-	-
September 30, 2025	23,423,414	3,114,407	2,102,541	9,884,585	1,818,182	4,848,097,473	4,888,440,602
Accumulated depreciation							
January 1, 2024	14,553,014	2,253,254	1,522,460	8,397,015	917,924	-	27,643,667
Depreciation	2,587,200	408,871	208,085	525,322	425,798	-	4,155,276
Disposals	-	-	-	-	-	-	-
Reclassification	-	-	-	-	-	-	-
December 31, 2024	17,140,214	2,662,125	1,730,545	8,922,337	1,343,722	-	31,798,943
Depreciation	-	254,675	52,887	390,462	317,415	-	1,015,439
Disposals	-	-	-	-	-	-	-
September 30, 2025	17,140,214	2,916,800	1,783,432	9,312,799	1,555,332	-	32,814,382
Allowance for impairment losses							
January 1, 2024	-	-	-	-	-	4,846,072,263	4,846,072,263
Impairment charge for the year	-	-	-	-	-	1,947,330	1,947,330
December 31, 2024	-	-	-	-	-	4,848,019,593	4,848,019,593
Impairment charge for the year	-	-	-	-	-	-	-
September 30, 2025	-	-	-	-	-	4,848,019,593	4,848,019,593
Net book value							
December 31, 2024	₱6,283,200	₱411,304	₱77,996	₱953,650	₱474,460	₱ -	₱8,200,610
September 30, 2025	₱6,283,200	₱197,607	₱319,109	₱571,786	₱262,850	₱77,880	₱7,606,627

Construction-in-progress pertains to development costs such as architectural designs, environmental impact assessments, concept design and master planning for the Subway System Project (Note 1).

Significant accounting estimate - Impairment of construction-in-progress (CIP)

The Company assesses at each reporting date whether there is an indication that the carrying amount of the non-financial assets may be impaired. If any such indication exists, the Company makes an estimate of the asset's recoverable amount. An impairment loss would be recognized whenever evidence exists that the carrying value is not recoverable.

In view of the SC ruling on territorial dispute between the cities of Makati and Taguig (Note 1) which rendered the Subway System no longer logistically and economically viable and the other uncertainties surrounding the matter, management has deemed it prudent to set up a full impairment loss provision (a non-cash charge) on the CIP account as of reporting date. Management, however, is still committed to continue the Subway System Project and is seriously studying other viable options.

Management will regularly assess the carrying amount of the construction-in-progress. Under the relevant accounting standard, if there is any indication that an impairment loss recognized in prior periods for an asset (other than goodwill) may no longer exist, the entity shall estimate and update the recoverable amount of the asset. This assessment process may result in an improvement in the recoverable amount of the asset (e.g. CIP account) that would trigger the reversal of previously recorded impairment loss.

Note 9 - Intangible asset

Intangible assets pertain to contractual rights over the excess FAR granted to the Group.

The Group has been granted enforceable contractual rights under the PPP JV Agreement with the Makati City Government (Note 1). These rights include contractual rights over the excess FAR (the “Rights”) under an ordinance issued and approved by the City Council of the Makati City Government as part of the terms of the conditions of the PPP JV Agreement to make the Subway System Project economically viable for the Group with the Parent Company being the main proponent. The Rights granted are a fundamental component of the PPP JV Agreement given the substantial number of financial investments and risks associated with the Subway System Project. The Rights are distinct assets and separate from ownership of the Project Land. The Rights may be transferred, sold or conveyed to other parties without conditions at reporting date.

Significant judgment – Recognition of intangible assets

Management believes that the recognition of the excess FAR development rights as intangible assets is consistent with of PAS 38, Intangible Assets, as discussed below:

- The Rights are enforceable and legally owned by the Group as at September 30, 2025 and December 31, 2024;
- The Rights are distinct assets, separate from land ownership;
- The Rights can be transferred, sold or otherwise conveyed to other parties; and
- The inflow of economic benefits from the above Rights is more likely than not or probable as at September 30, 2025 and December 31, 2024

The initial recognition of intangible assets resulted in a credit to the other reserves account in equity.

Critical accounting estimates - Useful life and carrying value of intangible assets

The Group’s excess FAR is subject to a definite and limited useful life based on the utilization of the related land using the output method. Output is in reference to the square meters allocable to the intangible asset. The amortization will start upon commencement of significant construction activities of the transit-oriented development (TOD) projects/investment properties. There is no amortization in 2024 and 2023 as construction activities related to the TOD projects/investment properties are yet to commence.

Critical accounting estimate - Impairment of intangible assets due to territorial dispute

In view of the SC ruling on the territorial dispute between the local government units of Makati City and Taguig City as disclosed in Note 1 and the uncertainties surrounding the Group’s Subway System Project as of reporting date, management has decided to set up an impairment loss provision (a non-cash charge) amounting to P39.11 billion as of reporting date on the excess FAR on areas that are now under the jurisdiction of Taguig City. The intangible assets recoverable amount is based on the latest valuation report issued by a firm of appraisers engaged by the management.

Management will regularly assess the carrying amount of the intangible assets. Under the relevant accounting standard, if there is any indication that an impairment loss recognized in prior periods for an asset (other than goodwill) may no longer exist, the entity shall estimate and update the recoverable amount of the asset. This assessment process may result in an improvement in the recoverable amount of the asset (e.g. intangible asset) which would trigger the reversal of previously recorded impairment loss.

Note 10 - Other assets

Other assets consist of:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Refundable deposits	₱3,126,538	₱3,124,538
Computer software, net	105,633	50,737
Other assets	275,150	275,153
	₱3,507,321	₱3,450,428

Note 11 - Accounts payable and accrued expenses

Accounts payable and accrued expenses consist of:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Accounts payable	₱13,852,690	₱4,314,384
Customers' deposits	388,205,477	244,771,702
Retention payable	37,020,281	37,020,281
Accrued expenses and other liabilities		
Real property taxes	26,683,320	26,683,320
Interest, penalties and related charges	144,590,074	112,338,587
Payable to government agencies	8,293,540	1,584,493
Others	69,548,800	61,847,421
	₱688,194,182	₱488,560,188

Note 12 - Provision for clearing costs

The movements in provision for clearing costs are as follows:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Beginning	₱13,024,882,104	₱13,409,429,521
Change in estimate, net of unwinding of discount	-	(380,547,417)
Actual clearing costs paid	(87,843,322)	(4,000,000)
Total	12,937,038,782	13,024,882,104
Less: Non-current portion	12,937,038,782	12,983,044,695
Total current portion	₱-	₱41,837,409

Note 13 - Borrowings

The movements in borrowings and net debt reconciliation are as follows:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)
Beginning	₱492,611,756	₱ 479,573,636
Cash flow changes		
Availments	-	-
Payments	-	-
Translation effect	-	13,038,120

Ending	₱492,611,756	₱492,611,756
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Note 14 - Equity

(a) Share capital and share premium

Authorized capital and subscribed shares outstanding consist of:

	Authorized		Subscribed	
	Number of shares	Amount	Number of shares	Amount
<i>2025</i>				
Common shares with par value				
P1 per share *	9,500,000,000	9,500,000,000	6,061,578,964	6,061,578,964
Preferred shares with par value				
P10 per share**	1,000,000,000	10,000,000,000	656,655,400	6,566,554,000
			6,718,234,364	12,628,132,964
<i>2024</i>				
Common shares with par value				
P1 per share *	9,500,000,000	9,500,000,000	6,061,578,964	6,061,578,964
Preferred shares with par value				
P10 per share**	1,000,000,000	10,000,000,000	656,655,400	6,566,554,000
			6,718,234,364	12,628,132,964

*Issued and outstanding

**Not yet issued but fully paid

Subscription of preferred shares

The PPP JV Agreement provides that the Makati City Government shall contribute to MCSI, through the Parent Company, a total of 7.90-hectare properties in exchange for the Parent Company's preferred shares equivalent to the appraised value of the properties.

On October 31, 2019, relative to the PPP JV Agreement, the Parent Company entered into the Subscription Agreement with the Makati City Government for 656.66 million preferred shares of the Parent Company at P10 per share in exchange for the delivery of the Makati Land.

In February 2020, the Parent Company and the Makati City Government agreed to split the Subscription Agreement into two: (i) 656.66 million preferred shares to be paid with land properties owned by the Makati City Government with an appraised value of P6.57 billion as at September 13, 2019, and (ii) 65.67 million preferred shares to be acquired through 2% annual stock dividends for 5 (five) years until the 722.32 million preferred shares are fully issued.

Critical accounting judgment - Equity classification of preferred shares

The preferred shares have the following basic features: voting, participating, redeemable at the option of the Parent Company, convertible to common shares, and preferred as to asset upon liquidation. Based on these features, management has assessed that preferred shares are considered equity instruments.

(b) Treasury shares

The Parent Company acquired some of its shares of stock amounting to P18,642 as a reserve for future claims of shareholders which are shown in its transfer agent's records but not in its accounts. It is the Group's policy to honor such claims and therefore, issue the said reacquired shares to shareholders upon their presentation of the original unrecorded stock certificates.

(c) Share warrants payable

In 2017, the Makati City Government entered into a Memorandum of Agreement with private entities, including Cross-Strait Common Development Fund Co. (“Cross Strait”), for the latter to conduct a study that aims to provide convenience to commuters in the Philippines’ financial district, alleviate traffic congestion and spur development to areas outside of the central business district through the Subway System Project, and to cooperate with the Makati City Government in entering into a PPP, JV, build-operate-transfer contract or any of its variants, or any appropriate collaborative engagement upon successful awarding of the Subway System Project.

On June 1, 2018, the Parent Company’s BOD approved the issuance in favor of Cross Strait 1.2 billion warrants, American option, with the strike price of P1.00 per share, valid for 5 years from issuance, in exchange for Cross Strait’s rights over the Subway System Project. This was subsequently approved by at least 2/3 of the Parent Company’s shareholders on July 20, 2018.

The Parent Company and Cross Strait finalized the agreement in 2019 in which Cross Strait formally transfers to the Parent Company its rights to the Subway System Project including the priority of bidding for the said project, topside development projects, construction and operation rights for the Subway System. The transaction also includes pre-feasibility studies, feasibility studies, legal due diligence, financial models, and business planning. The carrying value of the share warrants, based on the fair value of the assets received at transaction date, amounted to P1.76 billion as at September 30, 2025. The value of such assets which are required to complete the construction of the Subway System are included as part of construction-in-progress account under property and equipment in the consolidated statements of financial position.

(d) Earnings(loss) per share

Basic earnings per share for the quarter ended September 30, 2025 and for the years ended December 31, 2024 and 2023 are as follows:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)	December 31, 2023 (AUDITED)
Net income (loss) for the year	₱(13,711,982)	₱(240,190,854)	₱(44,119,880,320)
Weighted average number of shares outstanding	3,673,558,272	3,673,558,272	3,673,558,272
Earnings per share	(0.00)	(0.07)	(12.01)

Diluted earnings per share for the quarter ended September 30, 2025 and for the years ended December 31, 2024 and 2023 are as follows:

	September 30, 2025 (UNAUDITED)	December 31, 2024 (AUDITED)	December 31, 2023 (AUDITED)
Net income (loss) for the year	₱(13,711,982)	₱(240,190,854)	₱(44,119,880,320)
Weighted average number of shares outstanding			
Common shares outstanding	3,673,558,272	3,673,558,272	3,673,558,272
Diluted shares	1,856,655,400	1,856,655,400	1,856,655,400
	5,530,213,672	5,530,213,672	5,530,213,672
Earnings per share	(0.00)	(0.04)	(7.98)

(e) Liability for refund of stock rights subscription

On February 19, 1996, the SEC approved the Group’s application for the issuance of 40 billion shares, by way of stock rights offering, at an offer price of P0.012 per share. The Group commenced its stock rights offering on March 31, 1997. However, on July 15, 1997, the SEC revoked the Certificate of Permit to Sell Securities and ordered the Group and its custodian bank to immediately return to subscribers the proceeds from the rights offering currently held in escrow. The proceeds from the offering, which remained unclaimed by the subscribers, are shown as

“Liability for refund of stock rights subscription” in the current liabilities section of the consolidated statement of financial position.

Note 15 - Salaries, wages and employee benefits

Details of salaries, wages and employee benefits are as follows:

	September 30, 2025 (UNAUDITED)	September 30, 2024 (UNAUDITED)
Salaries and wages	₱9,526,413	9,457,696
Bonus and allowances	1,103,264	2,645,070
Statutory contributions	953,233	866,390
	₱11,582,910	₱12,969,156

Note 16 - Other expenses

Details of other expenses are as follows:

	September 30, 2025 (UNAUDITED)	September 30, 2024 (UNAUDITED)
Repairs and maintenance	₱1,075,061	₱430,518
Light and water	2,560,205	1,539,558
Dues and subscription	552,452	577,452
Transportation and travel	121,239	235,986
Marketing	31,141	212,554
Meals	867,371	848,909
Medical	951,366	762,775
Gasoline, oil and parking	311,985	268,755
Communication	254,932	225,979
Amortization of computer software	142,068	28,899
Insurance Expense	2,855,765	-
Miscellaneous	18,270,834	6,250,666
	₱27,994,419	₱11,382,051

Note 17 - Contingencies

In addition to legal claims and costs in connection with the clearing of Binangonan property the Group has contingent liabilities with respect to claims, lawsuits and taxes which are pending decision by the courts or being contested, the outcome of which are not presently determinable. The detailed information about these claims, lawsuits and taxes has not been disclosed as it might prejudice the ongoing claims and litigations. Management is of the opinion that an adverse judgment in any one case will not materially affect its financial position and financial performance. Management believes that liability arising is not probable, thus, no provisions were made in September 30, 2025 and December 31, 2024.

Note 18 - Related party transaction

Parties are related if one can control or significantly influence another's financial and operational decisions, or if they share common control or influence, including affiliates.

The Parent Company engages in transactions with subsidiaries, associates, and other related parties,

involving advances, expense reimbursements, real estate transactions, development, and administrative services.

Material Related Party Transactions Policy

Transactions between and among related parties create financial, commercial, and economic benefits to the Company. To this extent, therefore, the Company generally allows related party transactions. The general attitude of allowing related party transactions is subject to the condition that these are done on an arm's length basis and in compliance with the requirements set forth in this Policy. Thus, where the transaction is arrived at after competitive bidding, they are generally allowed.

All Related Party Transactions go through the normal approval processes of the Company. The Related Party Transactions Committee reviews and ratifies these RPT and endorses to the Board for approval.

In making its review, the RPT Committee will consider the following factors to the extent relevant to the RPT: (a) identity of the parties involved in the transaction, (b) terms of the transaction are fair and on an arm's length basis to the Company, (c) the impact on director's or officer's independence, (d) whether the RPT would present improper conflict of interest for any director or officer of the Company.

The Board of Directors approves and confirms all Related Party Transactions endorsed by the RPT Committee.

Any member of the Board or RPT Committee who has an interest in the transaction must abstain from participation in the review and approval of any RPT.

Note 19 - Financial risk and capital management

19.1 Financial risk management

The Group's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Group's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Group's financial performance.

Management, under the direction of the BOD is responsible for the management of financial risks. Its objective is to minimize the adverse impacts on the Group's financial performance mainly due to the unpredictability of the real estate industry.

(a) Market risk

Currency risk

The Group's exposure on currency risk is minimal and normally limited only to foreign currency denominated cash in banks, and borrowing and related interest payable at reporting dates.

Interest rate risk

Interest rate risk refers to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates. The Group's exposure to interest rate risk relates primarily to the Group's borrowings (Note 13) and lease liabilities (Note 17). These financial instruments are not exposed to fair value interest rate risk as these are carried at amortized cost. Likewise, these

instruments are not significantly exposed to variability in cash flows as these carry fixed interest rates.

Price risk

Quoted financial assets at fair value through other comprehensive income are acquired at certain prices in the market. Such investment securities are subject to price risk due to changes in market values of instruments arising either from factors specific to individual instruments or their issuers, or factors affecting all instrument traded in the market. Depending on several factors such as interest rate movements, the country's economic performance, political stability and inflation rates, these prices change, reflecting how market participants view the developments. Price risk is insignificant to the Group since investment in securities is not material.

Foreign currency exchange risk

The Group's exposure to foreign currency exchange risk arise from monetary assets and liabilities which are denominated in a currency that is not the Group's functional currency. Foreign currency exchange risk is the risk that the value of future cash flow of a financial instrument will fluctuate because of changes in foreign currency exchange rates. To manage its exposure to foreign currency exchange risk, the Company manages the timing of settlement/payment to ensure that the Company is not unfavorably exposed to fluctuations of foreign currency exchange rates.

(b) Credit risk

The Group takes on exposure to credit risk, which is the risk that a counterparty will cause a financial loss to the Group by failing to discharge an obligation.

Cash in banks and funds held by custodian bank

The Group manages credit risk on its cash in bank by depositing in banks that passed the criteria of the Group. Some of these criteria are stability, financial performance, industry-accepted ratings, quality, diversity and responsiveness of products and services.

Receivables

In respect of receivables from sale of real estate held for sale and development, credit risk is managed primarily through credit reviews and analysis of receivables on a continuous basis. The Group also undertakes supplemental credit review procedures for certain installment payment structures. Other receivables consist mainly of advances to third party subcontractors. The Group limits its exposure to credit risk by transacting only with counterparties that have appropriate and acceptable credit history.

The Group applies the PFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for receivables from sale of real estate held for sale and development. Exposure to impairment losses on receivables from sale of real estate held for sale and development is not significant as the real estate property titles are not transferred to the buyers until significant payment has been made and the requirement for remedial procedures is minimal given the profile of buyers.

The Group's receivables from subcontractors and other receivables have been assessed to be fully performing as of reporting date. Credit risk is considered low as the counterparties, which have ongoing projects for the Group, possess sufficient financial capacity to meet their obligations.

Accordingly, the expected credit loss on these fully performing contract receivables is deemed insignificant for financial reporting purposes.

Refundable deposits

Refundable deposits are considered highly recoverable as the counterparty is assessed to have strong capacity to meet its obligation to return the funds upon expiration of the arrangement. Based on impairment assessment, there is no expected credit loss for refundable deposits as at September 30, 2025 and December 31, 2024.

(b) Liquidity risk

Liquidity risk is the risk that the Group is unable to meet its payment obligations associated with its financial liabilities when these falls due. The consequence may be the failure to meet obligations to repay creditors and fulfill contractual commitments.

To manage liquidity, funding of maturing obligation will come either from future sale of developed properties, additional investments by shareholders and/or financing from banks or similar institutions. The Group constantly monitors and manages its liquidity position, liquidity gaps and surplus on a daily basis. A committed stand-by credit facility from several banks is also available to ensure availability of funds when necessary.

Under the PPP JV Agreement (Notes 1 and 7), the Parent Company, being the lead private proponent, shall have the obligation to finance the Subway System Project through equity investments and/or loan, financial lease, bond or other analogous form of financing from banks or other institutions with financial capacity which is acceptable to the Makati City Government. The obligation of the Parent Company to finance the Subway System Project shall be in the minimum amount of US\$3.5 billion or such amount that is actually needed to completely finance the Subway System Project, whichever is lower.

To mitigate liquidity risks, the Group considers the following:

- It has access to undrawn financing and credit facilities from overseas financial institutions, which is included in the Group's liquidity management;
- It is able to maintain an adequate time spread of refinancing maturities;
- It has active communication with potential investors; and
- It has the ability to convert long-term financial assets into cash.

19.2 Capital management

The Group's main objective is to ensure it has adequate capital moving forward to pursue its major land development, housing projects and other infrastructure projects.

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern, so that it can provide future returns to its shareholders and to maintain an optimal capital structure to reduce its cost of capital. For this purpose, capital is represented by total equity as shown in the consolidated statements of financial position, excluding fair value reserve on equity investments, remeasurement reserve on retirement benefit obligation and other reserves.

The Group manages its capital structure and makes adjustments in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Group may return capital to shareholders, issue new shares or sell assets to reduce debt.

The Group monitors capital in proportion to risk. The BOD has overall responsibility for monitoring capital in proportion to risk. Profiles for capital ratios are set in the light of changes in the external environment and the risks underlying the Group's business, operation and industry. As part of the reforms of the PSE to expand capital market and improve transparency among listed firms, PSE requires listed entities to maintain a minimum of ten percent (10%) of their issued and outstanding shares, exclusive of any treasury shares, held by the public. The Group has fully complied with this requirement.

There were no changes in the Group's capital management strategy and policies in September 30, 2025 and December 31, 2024.

19.3 Fair value of financial instruments

As at September 30, 2025 and December 31, 2024, the fair values of the Group's investments in equity securities are classified under Level 1 and Level 2 categories. No financial instruments classified under Level 3 category. The carrying values of the Group's current financial instruments as at reporting dates approximate their fair values due to their short-term nature

Note 20 - Summary of material accounting policies

The material accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

20.1 Basis of preparation

The consolidated financial statements of the Company have been prepared in accordance with PFRS Accounting Standards. PFRS Accounting Standards comprise the following authoritative literature:

- PFRS Accounting Standards,
- PAS Standards, and
- Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC), Philippine Interpretations Committee (PIC), and Standing Interpretations Committee (SIC) as approved by the Financial and Sustainability Reporting Standards Council (FSRSC) and the Board of Accountancy, and adopted by the Securities and Exchange Commission (SEC).

The consolidated financial statements have been prepared under the historical cost convention, as modified by the revaluation of investment properties.

The preparation of the consolidated financial statements in conformity with PFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are as follows:

- Valuation of real estate held for development and sale
- Fair value of investment properties
- Impairment of construction-in-progress (CIP)
- Useful life and carrying value of intangible assets
- Impairment of intangible assets due to territorial dispute

- Provision for clearing costs

Significant judgments

- Recognition of intangible assets
- Equity classification of preferred shares
- Recoverability of deferred tax assets

Changes in accounting policies and disclosures

(a) New standards, amendments and interpretations to existing standards as adopted by the Group effective January 1, 2024

The adoption of the following amendments did not have a significant impact on the consolidated financial statements:

- **Amendments to PAS 1, ‘Presentation of Financial Statements’**
Amendments made to PAS 1 Presentation of Financial Statements in 2020 and 2022 clarified that liabilities are classified as either current or noncurrent, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the entity’s expectations or events after the reporting date (for example, the receipt of a waiver or a breach of covenant that an entity is required to comply with only after the reporting period). Covenants of loan arrangements will not affect classification of a liability as current or non-current at the reporting date if the entity must only comply with the covenants after the reporting date. However, if the entity must comply with a covenant either before or at the reporting date, this will affect the classification as current or non-current even if the covenant is only tested for compliance after the reporting date.
- **Amendment to PFRS 16, ‘Lease liability in sale and leaseback’**

In September 2022, the IASB finalized narrow-scope amendments to the requirements for sale and leaseback transactions in IFRS 16 Leases which explain how an entity accounts for a sale and leaseback after the date of the transaction.

The amendments specify that, in measuring the lease liability subsequent to the sale and leaseback, the seller-lessee determines ‘lease payments’ and ‘revised lease payments’ in a way that does not result in the seller-lessee recognizing any amount of the gain or loss that relates to the right of use that it retains. This could particularly impact sale and leaseback transactions where the lease payments include variable payments that do not depend on an index or a rate.

- **Amendments to PAS 7 and PFRS 7, ‘Supplier Finance Arrangement’**

On May 25, 2023, the IASB issued amendments to IAS 7 and IFRS 7 to require specific disclosures about supplier finance arrangements (SFAs). The amendments respond to the investors’ need for more information about SFAs to be able to assess how these arrangements affect an entity's liabilities, cash flows and liquidity risk. Entities will be required to aggregate the information that they provide about SFAs. However, entities should disaggregate information about terms and conditions that are dissimilar, disclose explanatory information where the range of payment due dates is wide,

and disclose the type and effect of non-cash changes that are needed for comparability between periods.

(b) New standards, and amendments and interpretations to existing standards issued but not yet effective as at December 31, 2024

Certain new standards, and amendments and interpretations to existing standards have been published that are not mandatory for December 31, 2024 reporting periods and have not been early adopted by the Group. Except for PFRS 18 as discussed below, none of these are expected to have a significant impact on Group's consolidated financial statements:

- Amendments to PAS 21, 'Lack of Exchangeability'

In August 2023, the IASB amended IAS 21 to add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use when it is not. Prior to these amendments, IAS 21 set out the exchange rate to use when exchangeability is temporarily lacking, but not what to do when lack of exchangeability is not temporary.

These new requirements will apply for annual reporting periods beginning on or after 1 January 2025. Early application is permitted (subject to any endorsement process). Refer to Filling the gap in Currency accounting: new IFRS requirements for lack of exchangeability for further details.

- Amendments to PFRS 9 and PFRS 7, 'Classification and Measurement of Financial Instruments'

On May 30, 2024, the IASB issued targeted amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures to respond to recent questions arising in practice, and to include new requirements not only for financial institutions but also for corporate entities. These amendments:

- a. clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
- b. clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
- c. add new disclosures for certain instruments with contractual terms that can change cash flows (such as some financial instruments with features linked to the achievement of environment, social and governance targets); and
- d. update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).

The amendments in (b) are most relevant to financial institutions, but the amendments in (a), (c) and (d) are relevant to all entities.

The amendments to IFRS 9 and IFRS 7 will be effective for annual reporting periods beginning on or after 1 January 2026, with early application permitted subject to any endorsement process.

- PFRS 18, 'Presentation and Disclosure in Financial Statements'

This is the new standard on presentation and disclosure in financial statements, which replaces IAS 1, with a focus on updates to the statement of profit or loss.

The key new concepts introduced in IFRS 18 relate to:

- the structure of the statement of profit or loss with defined subtotals;
- requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss
- required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general

IFRS 18 is expected to affect the presentation of income and expenses in the Group's financial statements.

- IFRS 19, 'Subsidiaries without Public Accountability: Disclosures'

This new standard works alongside other IFRS Accounting Standards. An eligible subsidiary applies the requirements in other IFRS Accounting Standards except for the disclosure requirements; and it applies instead the reduced disclosure requirements in IFRS 19. IFRS 19's reduced disclosure requirements balance the information needs of the users of eligible subsidiaries' financial statements with cost savings for preparers. IFRS 19 is a voluntary standard for eligible subsidiaries.

A subsidiary is eligible if

- it does not have public accountability; and
- it has an ultimate or intermediate parent that produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

The following relevant standard and interpretation to existing standard have been adopted by the Group effective January 1, 2024:

- Amendments to PAS 1, '*Presentation of Financial Statements*'

The amendments clarify that liabilities are classified as either current or noncurrent, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (e.g., the receipt of a waiver or a breach of covenant). The amendments also clarify what PAS 1 means when it refers to the 'settlement' of a liability.

In addition, PAS 1 requires entities to disclose their material rather than their significant accounting policies. The amendments define what is 'material accounting policy information' and explain how to identify when accounting policy information is material. They further clarify that immaterial accounting policy information does not need to be disclosed. If it is disclosed, it should not obscure material accounting information.

- Amendment to PAS 8, '*Accounting Policies, Changes in Accounting Estimates and Errors*'

The amendment clarifies how companies should distinguish changes in accounting policies from changes in accounting estimates. The distinction is important, because changes in accounting estimates are applied prospectively to future transactions and other future events, but changes in accounting policies are generally applied retrospectively to past transactions and other past events as well as the current period.

New standards, amendments to existing standards and interpretations not yet adopted by the Group.

There are no new standards or amendments to existing standards that are effective for annual periods beginning on or after December 31, 2024 that are considered relevant or expected to have a material effect on the Group's financial statements.

Basis of consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and wholly-owned subsidiaries, MCSI, JRIC and IDC.

Details for the date and place of incorporation of the subsidiaries are as follows:

Subsidiary	Date of incorporation	Place of incorporation	Principal activities
Interport Development Corporation	December 21, 1993	Philippines	(a)
Makati City Subway, Inc.	March 4, 2019	Philippines	(b)
Jiangsu Rizal Infradev Co., Ltd.	July 12, 2019	People's Republic of China	(c)

The subsidiaries of the Parent Company have the following principal activities:

- (a) Primarily for the acquisition and selling of real estate of all kinds or hold such properties for investment purposes.
- (b) Primarily engaged in the development, construction, operation, repair, maintenance, management and other allied business involving infrastructure and/or public utility projects, such as railways, railroads, subway systems and other transport systems, airports, toll ways, piers and other public works.
- (c) Primarily to function as a corporate vehicle in the procurement of materials and equipment related to the Makati City Subway System Project.

The Group uses uniform accounting policies, any difference between the Parent Company and the subsidiaries are adjusted properly.

All the subsidiaries' undertakings are included in the consolidation. The proportion of the voting rights in the subsidiaries' undertakings held directly by the Parent Company do not differ from the proportion of ordinary shares held.

Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with an entity and has the ability to affect those returns through its power over an entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. These are deconsolidated from the date that control ceases.

Subsidiaries are all entities over which the Group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting

rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity. The Group also assesses the existence of control where it does not have more than 50% of the voting power but is able to govern the financial reporting and operating policies by virtue of de facto control. De facto control may arise in circumstances where the size Group's voting rights relative to the size and dispersion of holdings of other shareholders give the Group the power to govern the financial and operating policies.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree, and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. On an acquisition-by-acquisition basis, the Group recognizes any non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the recognized amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the Group is recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognized either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is not accounted for within equity.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognized and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognized directly in profit or loss.

Intercompany transactions, balances and unrealized gains on transactions between companies in the Group are eliminated. Unrealized losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions—that is, as transactions with the owners in their capacity as owners. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Disposal of subsidiaries

When the Group ceases to have control, any retained interest in an entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognized in profit or loss. The fair value is the initial carrying amount for purposes of subsequently accounting for the

retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognized in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognized in other comprehensive income are reclassified to profit or loss.

20.2 Financial instruments

(a) Financial assets

Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value through other comprehensive income; and
- those to be measured at amortized cost.

The financial assets at amortized cost of the Group comprise: cash in banks, receivables, excluding advances to officers and employees, funds held by custodian bank, and refundable deposits under other assets while financial assets at FVOCI pertain to investments in equity securities under other assets (Note 10) in the consolidated statement of financial position.

Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Impairment

The Group applies the PFRS 9 simplified approach to measuring ECL for all trade receivables which uses a lifetime expected loss allowance from initial recognition. To measure the ECL, trade receivables have been grouped based on shared credit risk characteristics and the days past due.

The expected loss rates are based on the collection profiles over a period of 60 months before the beginning of the reporting dates and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified the bank interest rates to be the most relevant factor and accordingly adjusts the historical loss rates based on expected changes in this factor.

For cash in banks, other receivables that are financial assets, funds held by custodian bank and refundable deposits, the general approach is applied. Under this approach, credit loss allowance is based on 12-month expected credit loss if there is no significant increase in credit risk since initial recognition of the assets. If there is a significant increase in credit risk since initial recognition, lifetime expected credit loss will be calculated and recognized.

The carrying amount of the receivables is reduced through the use of an allowance account, and the amount of the loss is recognized in expenses in the consolidated statement of comprehensive income. When a receivable is uncollectible, it is written off against the allowance account for receivables. Receivables are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments

for a period of greater than that agreed with Group. If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized (such as an improvement in the debtor's credit rating), the reversal of the previously recognized impairment loss is recognized through profit or loss.

Reversals of previously recorded impairment provision are based on the result of management's update assessment, considering the available facts and changes in circumstances, including but not limited to results of recent discussions and arrangements entered into with debtors as to the recoverability of receivables at the end of the reporting period. Subsequent recoveries of amounts previously written-off are recognized in expenses in the consolidated statement of comprehensive income.

(b) Financial liabilities

Classification

The Group classifies its financial liabilities at initial recognition in the following categories at amortized cost.

The Group's financial liabilities at amortized cost comprise accounts payable and other liabilities, excluding customers' deposits, payable to government agencies and accrued real property taxes, borrowings, and liability for refund of stocks rights subscription are classified under this category. These are included in current liabilities, except for maturities greater than 12 months after the reporting date, which are then classified as non-current liabilities.

20.3 Real estate held for development and sale

The account includes land held for development, which refers to land acquired exclusively for development and resale thereafter and real properties held for sale and development through housing projects. Real estate held for sale and development is stated at the lower of cost and NRV. The cost comprises purchase price plus costs directly attributable to the acquisition of the assets including clearing, retitling, site preparation and subsequent development costs. NRV is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

20.4 Investment properties

The Group's investment properties, principally comprising of properties in Binangonan, Rizal and in Makati City, Metro Manila, are held for capital appreciation and is not occupied by the Group. The Group has adopted the fair value model for its investment properties.

After initial recognition, investment property is carried at fair value as determined by an independent firm of appraisers. Fair value is based on income approach, which uses valuation techniques that convert future amounts (e.g., cash flows or income and expenses) to a single current (i.e., discounted) amount. The fair value measurement is determined on the basis of the value indicated by current market expectations about those future amounts. These valuations are reviewed annually by the independent appraiser.

Investment property that is being redeveloped for continuing use as investment property or for which the market has become less active continues to be measured at fair value. On a regular basis, an estimate of the recoverable or clearable area over the properties is done by the Group. An

increment in the recoverable area is recognized at fair value, with a consequent provision for estimated clearing costs.

Subsequent expenditure (i.e., provision for clearing costs) is charged to the asset's carrying amount only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other costs, classified as repairs and maintenance, are charged to profit or loss during the financial period in which they are incurred.

Changes in fair values are recognized in profit or loss.

Property that is being constructed or developed for future use as investment property is classified as investment property.

20.5 Intangible assets

The costs of intangible assets arising from contractual right are their fair value as at the date of acquisition, determined using discounted cash flows as a result of the asset being owned. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

The useful lives of intangible assets are assessed as either finite or indefinite. The intangible assets are considered to have finite life.

Intangible assets with finite lives are amortized based on the utilization of the related land using the output method. Output is in reference to the square meters allocable to the intangible assets. The amortization will start upon commencement of the significant construction activities over the transit-oriented development projects/investment properties.

Intangible assets are assessed for impairment whenever there is an indication that an intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with finite useful lives are reviewed at least at the end of each reporting period.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in profit or loss in the expense category consistent with the function of the intangible assets.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the intangible asset and are recognized in profit or loss when the intangible asset is derecognized.

20.6 Property and equipment

All other costs, classified as repairs and maintenance, are charged to profit or loss during the year in which they are incurred.

Depreciation of property and equipment are computed using the straight-line method over the following estimated useful lives in years:

Asset class	Useful life
Residential units and parking lots	25 to 50 or lease term, whichever is shorter
Building and improvements	25 to 50

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal at which time the cost and their related accumulated depreciation are removed from the accounts. Gain or loss arising from disposal is determined as the difference between the net disposal proceeds and the carrying amount of the asset. Gain or loss on disposal is recognized in profit or loss in the period of the disposal.

20.7 Impairment of non-financial assets

Assets that have an indefinite useful life, such as investment in a subsidiary, and intangible assets, are not subject to depreciation and amortization and are tested annually for impairment. Assets that have definite useful life are subject to depreciation and amortization and are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that are impaired are reviewed for possible reversal of the impairment at each reporting date.

Where an impairment loss subsequently reverses, the carrying amount of the asset or cash-generating unit is increased to the revised estimate of its recoverable amount, but the increased carrying amount should not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset or cash-generating unit in prior years. A reversal of an impairment loss is recognized as income immediately in profit or loss.

20.8 Fair value measurement

The fair value of a non-financial asset is measured based on its highest and best use. The asset's current use is presumed to be its highest and best use.

The fair value of financial and non-financial liabilities takes into account non-performance risk, which is the risk that an entity will not fulfill an obligation.

The Group classifies its fair value measurements using a fair value hierarchy that reflects the significance of the inputs used in making the measurements. The fair value hierarchy has the following levels:

- Level 1 – quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2 – inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices); and
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs).

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of significant assets, such as investment properties. Involvement of external valuers is decided upon annually by management. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. Management decides, after discussions with the Group's external valuers, which valuation techniques and inputs to use for each case.

At each reporting date, management analyzes the movements in the values of assets and liabilities, which are required to be re-measured or re-assessed as per the Group's accounting policies. For this analysis, management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents with relevant external sources to determine whether the change is reasonable.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

20.9 Borrowings and borrowing costs

Fees paid on the establishment of loan facilities are recognized as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalized as a pre-payment for liquidity services and amortized over the period of the facility to which it relates.

General and specific borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. All other borrowing costs are recognized in profit or loss in the period in which these are incurred.

20.10 Income taxes

The income tax expense for the period comprises current and deferred income tax. Income tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the income tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognized on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates based on

existing laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax asset is realized, or the deferred income tax liability is settled.

Deferred income tax assets are recognized for all deductible temporary differences, carry-forward of unused tax losses or NOLCO and unused tax credits or excess MCIT to the extent that it is probable that future taxable profit will be available against which the temporary differences, unused tax losses and unused tax credits can be utilized.

Deferred income tax assets are recognized on deductible temporary differences arising from investments in subsidiaries, associates and joint arrangements only to the extent that it is probable the temporary difference will reverse in the future and there is sufficient taxable profit available against which the temporary difference can be utilized.

The Group reassesses at each reporting date the need to recognize a previously unrecognized deferred income tax asset.

Deferred income tax liabilities are recognized in full for all taxable temporary differences, except to the extent that the deferred income tax liability arises from the initial recognition of goodwill. Deferred income tax liabilities are provided on taxable temporary differences arising from investments in subsidiaries, associates and joint arrangements, except for deferred income tax liability where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Generally, the Group is unable to control the reversal of the temporary difference for associates. Only where there is an agreement in place that gives the Group the ability to control the reversal of the temporary difference not recognized.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets against current income tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

Deferred income tax assets and liabilities are derecognized when the related bases are realized/settled or when it is no longer realizable/due.

20.11 Employee benefits

(a) Retirement benefits

The liability recognized in the consolidated statement of financial position is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets, if any.

The defined benefit obligation is calculated annually by an independent actuary using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of government bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity which approximate the terms of the related retirement benefit liability.

(b) Short-term employee benefits

Wages, salaries, paid annual vacation and sick leave credits and other non-monetary benefits are accrued during the period in which the related services are rendered by employees of the Group. Short-term employee benefit obligations are measured on an undiscounted basis.

20.12 Contingencies and provisions

Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes when inflows of economic benefits are probable. If it becomes virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the consolidated financial statements.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognized even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provision for clearing costs represents the Group's expected cost to clear a portion of its Binangonan property and other properties that the Group acquires from bona fide occupants with superior rights over the Group's investment properties. The amount is based on the average estimated clearing and titling cost per agreement with the contractor. Such amount represents the peso value quoted by the contractor based on recoverable area and is adjusted regularly to reflect the net present value of obligation associated with clearing of land titles.

When the effect of time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessment and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to passage of time is recognized as an interest expense.

20.13 Revenues and income, and costs and expenses

(a) Revenues from contracts with customers and other income

Revenue comprises the fair value of the consideration received or receivable for the sale of goods in the ordinary course of the Group's activities, which normally approximates the invoice amount.

Sales of real estate and costs of real estate sold

Sales are recognized when control of the real estate has transferred, being when the sales price is deemed collectible. Collectability of the sales price is demonstrated by the buyer's commitment to pay, which in turn is supported by substantial initial and continuing investments that give the buyer a stake in the property sufficient that the risk of loss through default motivates the buyer to honor its obligation to the Group. Collectability is also assessed by considering factors such as the credit standing of the buyer, age and location of the property.

Sales of real estate are considered as sales at a point in time. For properties sold through a financing agreement with Pag-IBIG under the HDMF, revenue is recognized upon loan approval from HDMF, net of any discount. For properties sold through cash, revenue is recognized upon full collection, net of any discount. For properties sold through installments, revenue is recognized upon turnover of the units to the buyers, which coincides with the collection of a significant portion of the contract price.

Any collections on contracts that have not yet qualified for revenue recognition are reported as customers' deposits within accounts payable and other liabilities in the consolidated statement of financial position.

Costs of real estate sold are recognized simultaneously with revenue. Costs of real estate sold include cost of land allocated to the Group based on assigned lots stated in the agreement entered into with the developer and all other incidental costs incurred by the Group.

The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating the interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial instrument or when appropriate, a shorter period to the net carrying amount of the financial liability.

20.14 Leases

(a) Group as lessee - operating lease

Short-term leases and leases of low-value assets

Payments associated with short-term leases and leases of low-value assets are recognized on a straight-line basis as an expense through profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets are those with minimum lease payments below the capitalization threshold. These leases are presented as part of rent under expenses in the consolidated statement of comprehensive income.

20.15 Foreign currency transactions and translation

Items included in the Group's consolidated financial statements are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The Group's consolidated financial statements are presented in Philippine Peso, which is the Group's functional and presentation currency.

Foreign currency transactions are translated into Philippine Peso using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss.

On consolidation, the assets and liabilities of JRIC, a foreign subsidiary with functional and presentation currency of Chinese Yuan, are translated into Philippine Peso at the rate of exchange prevailing at the reporting date and their income statements are translated at exchange rates prevailing at the dates of the transactions. The exchange differences arising on translation for consolidation are recognized in other components of equity. On disposal of a foreign subsidiary, the component of other components of equity relating to that particular foreign subsidiary is recognized in profit or loss.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

(For the Quarter Ended September 30, 2025)

(a) Registration and organization

Philippine Infradev Holdings Inc. (the "Parent Company") was incorporated in the Philippines on February 24, 1975. The Parent Company is primarily engaged in the acquisition, reclamation, development, or exploitation of lands for the purpose of converting and developing said lands to integrated residential or commercial neighborhoods, and generally to engage in real estate business in all its forms.

The Parent Company became a public company through an initial public offering at the Philippine Stock Exchange (PSE) on February 27, 1978. There are no other offerings made other than new shares issued arising from stock rights offering in 2010. As at September 30, 2025 and December 31, 2024, 15.53% of the total outstanding common shares of the Parent Company is listed in the PSE.

The immediate and ultimate parent of the Parent Company is Aggregate Business Group Holdings Inc. (ABG), a domestic holding company, which holds 67.10% (2024 - 67.10%) of the Parent Company's outstanding common shares as at September 30, 2024.

The Parent Company and its subsidiaries are collectively referred hereinto as the "Group".

The Parent Company's Board of Directors (BOD) approved the change in the Parent Company's registered office and principal place of business from 35/F Rufino Pacific Tower, 6784 Ayala Avenue, Makati City to 38F (A&B) Rufino Pacific Tower, 6784 Ayala Avenue, Makati City, effective February 1, 2021.

(b) Makati Subway System; Territorial dispute

On October 23, 2018, the Parent Company received from Public-Private Partnership (PPP) Selection Committee of the Makati City Government a Notice of Award for the construction and operation of the Makati City Subway System (the "Subway System") to be implemented through the PPP Joint Venture (PPP JV) Agreement. The Subway System Project has been awarded to the Parent Company as the lead proponent of a consortium.

On March 4, 2019, the Parent Company incorporated Makati City Subway, Inc. (MCSI) that will be used as a special corporate vehicle for the Subway System Project. MCSI is a wholly owned, domestic subsidiary of the Parent Company.

On July 12, 2019, the Parent Company incorporated Jiangsu Rizal Infradev Co., Ltd. (JRIC) to function primarily as a corporate vehicle in the procurement of materials and equipment related to the Subway System Project. JRIC is a wholly owned, foreign subsidiary incorporated in Jiangyin City, China.

On July 19, 2019, the Makati City Council approved City Ordinance No. 2020-A-020 (the "Ordinance") on third and final reading. The Ordinance approved the terms and conditions of the PPP JV Agreement between the Parent Company and the Makati City Government for the construction, establishment, management and operation of the Subway System.

On July 30, 2019, the Parent Company's BOD approved a resolution authorizing the Parent Company's execution, delivery and performance of the PPP JV Agreement with the Makati City

Government as the Joint Venture (JV) Partner, and of other instruments contemplated in the PPP JV Agreement. On the same date, authorized representatives of the Parent Company and the Makati City Government signed the PPP JV Agreement, and the Parent Company submitted to the Makati City Government the US\$350 million performance bond which was accepted by the Makati City Government. The performance bond is covered by a surety agreement which will expire in August 2025.

On February 18, 2020, the Notice to Proceed for the Subway System Project was received by the Parent Company. The Subway System Project is expected to be completed within five (5) years for an estimated total project cost of US\$3.50 billion.

On September 8, 2020, the Group executed the Engineering, Procurement, and Construction (EPC) contracts for the Subway System Project with China Construction Second Engineering Bureau Ltd. and Shanghai Electric Group Automation Engineering Co., Ltd. The EPC contracts cover (i) civil works, and (ii) mechanical, electrical, plumbing (MEP) works for a total price of US\$1.21 billion. The Group made a downpayment amounting to \$3.05 million.

On March 9, 2021, the Group executed a legally binding term sheet with Richer Today, Inc. (“RTI”) for the financing, design, construction, development, marketing and sale of the lots in and around Station 5 of the Subway System through an unincorporated joint venture. Construction development over said lots shall commence after two (2) years.

On March 7, 2022, the Group received the certificate of registration of MCSI as new operator of Local Government Unit Public-Private Partnership from the Board of Investments effective January 17, 2022. This includes the approval of tax incentives which shall be limited to four (4) years income tax holiday, followed by five (5) years enhanced deductions and duty exemption on importation of capital equipment, subject to compliance with certain conditions.

As at the date of the approval of the financial statements, the Group has completed the excavation and shoring works of the first phase of the underground walkway construction and concrete pouring of two mat foundation (Note 8). The first phase covers Station 3 (located along Sen. Gil J. Puyat Avenue, Dela Rosa Street and Urban Avenue). Adjustments and optimization of the subway basic design have also been made according to the requirements of the Makati City Government. The detailed design of the station and section of the first phase of the Subway System has been completed. Certain major equipment and machineries are on site, but with incoming deliveries, to continue to the next phase of the construction in Station 5 (located along J.P. Rizal Street within the old Makati City Hall).

Territorial dispute between the Cities of Makati and Taguig

In 2023, the Supreme Court (SC) ruled with finality that the City of Taguig has jurisdiction over Fort Bonifacio and Embo barangays previously belonging to the City of Makati. As a result of this of SC ruling, management has assessed that the alignment of the subway will no longer be feasible due to several stations now under the territory of the City of Taguig. As of reporting date, the construction activities related to the Subway System have been temporarily suspended.

Arbitration proceedings relating to the Makati City Subway Project under the Joint Venture Agreement with the Makati City Government

On May 1, 2025, the Board of Directors of the Parent Company has resolved that continuing with the Makati City Subway Project under the Joint Venture Agreement (“JVA”) with the Makati City Government was rendered no longer economically and operationally feasible due primarily to the Philippine Supreme Court's decision declaring some subway stations and depot to be under the jurisdiction of Taguig City instead of the Makati City. Arbitration proceedings have thus been commenced with the Singapore International Arbitration Centre to enable an impartial resolution of the JVA with the Makati City

Financial Condition

Interim Report (September 30, 2025)

The Company's total assets amounted to ₱123,318,286,113, which were financed by total liabilities of ₱22,395,077,592 and total equity of ₱100,923,208,521. Noncurrent assets totaled ₱120,815,904,194 and consisted of investment properties, property and equipment (net of accumulated depreciation), intangible assets, and other assets. Current assets amounted to ₱2,502,381,919.

Results of Operation

A comparative review of the Company's financial performance for the quarter ended September 30, 2025, versus the same period in 2024, is presented below:

Total revenues decreased by ₱116.23 million, primarily attributable to the lower sales volume from Casas Carlina during the third quarter of 2025. The Company sold only one hundred thirty-six (136) units in 2025, compared to one hundred eighty-nine (189) in the same period of 2024.

Correspondingly, total costs and expenses declined by ₱32.49 million, from ₱389.38 million in 2024, mainly due to the reduced number of units sold. The decrease in cost of sales was directly aligned with the lower sales volume, reflecting management's continued adherence to cost-matching principles relative to revenues.

Overall, the decline in sales volume significantly impacted the Company's revenue performance for the quarter. Nevertheless, the proportional reduction in costs and expenses helped mitigate the effect on profitability. Management continues to focus on operational efficiency, cost control measures, and strategies to improve sales volume in succeeding quarters.

Causes for any material changes (+/- 5% or more) in the financial statements (September, 2025 vs. December 31, 2024)

Cash decreased by **₱6.26 million** or **5%**, mainly due to more aggressive expansion by clearing our properties in Binangonan.

Receivable increased by **₱53.31 million** or **7%**, primarily due to the increase of the Company's retention receivable from Pag-Ibig, which will only be collected after conversion of the title.

Prepayments and other current assets increased by **₱51.49 million** or **16%**, primarily due to higher prepaid taxes related to the sale of properties, as well as the recognition of additional input taxes during the period.

Accounts payable and other liabilities increased by **₱199.63 million** or **29%**, mainly due to the higher and more customer's deposit from Casas Carlina and Casa Bauhinia.

Discussion of Material Events/Uncertainties Known to Management that would Address the Past and Impact on Future Operations

- a. The Company's capital expenditures commitments are land clearing cost and the Casas Carlina Project home improvements, and development on newly launched project Casas Bauhinia. It is not under any pressing obligation to pay its advances to affiliates. The Company has enough resources to cover payment of liabilities through the sale of some of its properties.
- b. The Management does not foresee any event that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation.
- c. The Company does not have any material off-balance sheet transactions, arrangements, obligations (including contingent obligations) and other relationships with unconsolidated entities or other persons created during the reporting period.
- d. The Management is not aware of any known trends, demands, commitments, events or uncertainties that have had or that are reasonably expected to have a material favourable or unfavourable impact on the company's liquidity, net sales or revenues or income from continuing operations.
- e. The Company does not have any significant elements of income or loss that did not arise from the company's continuing operations.

REGISTRANT'S COMPARATIVE FINANCIAL SOUNDNESS INDICATORS

	Sep. 30, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022
Working Capital	(629,602,991)	(572,126,688)	73,709,571	1,575,003,460
Current Ratio	0.80	0.81	1.03	4.39
Quick Ratio	0.28	0.29	0.31	1.08
Asset to Equity Ratio	1.22	1.22	1.22	1.13
Debt to Assets Ratio	0.18	0.18	0.18	0.12
Debt to Equity Ratio	0.22	0.22	0.22	0.13
Interest Coverage Ratio	0.63	(2.48)	(1,326.41)	2,308.10
Gross Profit Margin	0.35	0.40	0.61	0.98
Operating Profit Margin	0.06	0.18	(80.67)	0.95
Net Profit Margin	(0.04)	0.13	(81.32)	0.71
Return on Assets	(0.00)	0.00	(0.36)	0.02
Return on Equity	(0.00)	0.00	(0.44)	0.02

Current/ Liquidity Ratios - shows the ability of the company to pay off its debts over the next year.

Working Capital- computed as current assets minus current liabilities.

Current Ratio- computed as current assets divided by current liabilities.

Quick Ratio- computed as current assets minus prepayments and land held for development divided by current liabilities.

Asset to Equity Ratio - measures financial leverage and long- term solvency. It shows how much of the assets are owned by the company. It is computed as total assets divided by stockholders' equity.

Solvency Ratios - measure the company's ability to pay all debts, particularly long-term debts.

Debt to Assets - computed as total liabilities divided by total assets.

Debt to Equity - computed as total liabilities divided by total equity.

Interest Coverage Ratio - measures the company's ability to pay its interest charges. It is computed as income before income tax and interest expense divided by interest payments.

Profitability Ratios

Gross Profit Margin- shows how much of the company's revenue remains after the cost of sales. It is computed as gross profit divided by sales.

Operating Profit Margin- measures the amount of money that remains after paying sales and operating expenses. It is computed as earnings before taxes and interest divided by sales.

Net Profit Margin- shows the money remaining after paying all expenses. It is computed as net profit divided by sales.

Return on Assets- measures how effectively the company uses its assets to create revenue. It is computed as net income divided by total assets.

Return on Equity- measures how much money the company have earned on its investment. It is computed as net income divided by stockholders' equity.

PART II – OTHER INFORMATION

ITEM 4 - NON-APPLICABILITY OF OTHER SEC-REQUIRED NOTES

Notes required to be disclosed but are not applicable to the Registrant are indicated below:

- a. Assets Subject to Lien and Restrictions on Sales of Assets
- b. Changes in Accounting Principles and Practices
- c. Defaults
- d. Preferred Shares
- e. Pension and Retirement Plans
- f. Restrictions which Limit the Availability of Retained Earnings for Dividend Purposes
- g. Significant Changes in Bonds, Mortgages and Similar Debt
- h. Registration with the Board of Investments (BOI)
- i. Foreign Exchange losses Capitalized as part of Property, Plant & Equipment
- j. Deferred Losses Arising from Long-Term Foreign Exchange Liabilities
- k. Disclosure not made under SEC Form 17-C: None

ITEM 5- RECOGNITION OF IMPACT OF THE FOLLOWING NEW STANDARDS

The following new standards do not have and are not expected to have a material impact on the Group's financial statements.

	Adopted/Not adopted/
	Not applicable
a. Separate Financial Statements PAS 27 (Amended)	Adopted
b. Investments in Associate and Joint Venture PAS 28	Adopted
c. Government Loans (Amendments to PFRS 1)	Not applicable
d. Disclosure-Offsetting Financial Assets and Financial Liabilities (Amendments to PFRS 7)	Adopted
e. Consolidated Financial Statements (PFRS 10)	Adopted
f. Joint Arrangements (PFRS 11)	Adopted
g. Disclosure of Interests in Other Entities (PFRS 12)	Adopted
h. Fair Value Measurement (PFRS 13)	Adopted
i. Financial Instruments (PFRS 9)	Adopted

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer: PHILIPPINE INFRADEV HOLDINGS INC.



GEORGINA A. MONSOD
President



JEAD MARK M. DELA ROSA
Treasurer